

25PSCV00709 25PSCV00709

County: los-angeles

Division: Civil Law and Motion

Department: H

Hearing date: 2026-09-21

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CH%2C09%2F21%2F2026

Source SHA-256: e274010adc889ed8d483fe9627c90ce79a14bdee635692c13a45adf3f031ea66

Case Number: 25PSCV00709 Hearing Date: September 21, 2026 Dept: H

Tolley v. Kaiser Foundation Hospitals, et al., Case No. 25PSCV00709

ORDER ON PETITION TO APPROVE COMPROMISE OF PENDING ACTION

The Court is inclined to CONTINUE the hearing on Petitioner Travis Tolley's petition to approve compromise of pending action of minor due to a notice deficiency identified herein [see below].

Background

Plaintiff

Nolan Tolley ("Minor"), by and through his guardian ad litem Travis Tolley, alleges that his mother and him received negligent care and treatment while members of Defendant Kaiser Foundation Hospitals' entities. Minor alleges that the negligent care and treatment began on May 29, 2020. The negligent acts and omissions consist of, but are not limited to: failure to properly diagnose pregnancy, negligent diagnosis of "missed abortion," negligent follow up, erroneous and unnecessary D&C procedures, negligent anesthetic administration, and failure to properly and timely diagnose significant fetal disabilities.

The Complaint, filed on February 27, 2025, alleges a cause of action for Professional Negligence.

Legal

Standard

Court

approval is required for all settlements of a minor's claim. (Prob. Code §§ 3500, 3600, et seq.; Code Civ. Proc., § 372.)

California Rules of Court, rule 7.950 provides that a petition "must be verified by the petitioner and must contain a full disclosure of all information that has any bearing upon the reasonableness of the compromise . . ." (See Cal. Rules of Court, rule 7.950.) Rule 7.950 states that the Petition must be filed on a completed Petition for Approval of Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person With a Disability (form MC-350).

Discussion

Petitioner

Travis Tolley ("Petitioner") moves for approval of compromise of Minor for \$4,250,000.00 with Defendant Kaiser Foundation Health Plan ("Kaiser"). Petitioner is Minor's parent and guardian ad litem. Petitioner proposes to fund \$211,932.24 as cash into a special needs trust ("SNT") for Minor's benefit and use the remaining funds to purchase an annuity that would pay into the trust as follows:

Monthly payments to the Nolan Tolley

Special Needs Trust of \$6,127.62 commencing on 12/1/2026; increasing by 3% compounded annually; Guaranteed for 40 years and life thereafter; Last guaranteed payment on 11/1/2066; Total purchase price = \$2,500,000; Total Guaranteed Benefit = \$5,544,363.21.

A. The
Compromise

The

Court determines that the compromise for \$4,250,000.00 appears fair and reasonable. The Court observes that the attorney's fees total \$1,392,239.18 and that medical expenses total \$114,735.21, such that Minor's net total recovery would be \$2,711,932.24, along with an additional \$250,000.00 to Minor's mother. The Court next turns to the SNT.

B. The
Special Needs Trust

Pursuant to Los Angeles Superior Court Local Rule 4.115, subd. (c), the Probate Department has conducted a review of the SNT. As discussed below, while the Court determines that the proposed SNT is appropriate, the proof of service filed on August 6, 2026 does not reflect service on the state agencies that are required to be given notice of the hearing (see below); as such, if no revised proof of service reflecting appropriate service on the state agencies is filed in advance of the hearing, the Court will need to continue the hearing so those agencies can be served. In addition, as noted below, the Court believes bond should be \$326,000, not \$318,000.

1. Notice to State
Agencies

When seeking approval to fund an SNT, notice of the hearing and service of the petition must be made upon three state agencies including the Department of Mental Health, the Department of Developmental Services, and the Department of Health Care Services. (Probate Code section 3611(c) ["Notice of the time and place of the hearing and a copy of the petition shall be mailed to the State Director of Health Care Services, the Director of State Hospitals, and the Director of Developmental Services at the office of each director in Sacramento at least 15 days before the hearing."].)

2. The Proposed Trust
Instrument

The Proposed Trust Instrument (provided at Attachment 18(b)(4)) meets the requirements of California Rules of Court rule 7.903(c) and Los Angeles Superior Court Local Rule 4.116(b).

3. Additional
Requests for Relief

The Court has reviewed

and will approve Petitioner's additional requests for relief, as follows:

(1) Petitioner requests

authority for trustee to invest in proprietary funds, mutual funds, and bonds with maturity dates greater than five years to provide for diversification and a higher rate of investment return. (Attachment 18(b)(4).) This request would provide for a broader investment authority than the statutory baseline and is common where, as here, the trust assets will be large and the investment horizon is long. The Court grants this request.

(2) Petitioner

requests authority to pay \$5,000 to trust specialist counsel, Randolph Sharon, Esq., for tasks relating to the minor's settlement trust including drafting of the trust instrument and related portions of this petition. (Attachment 13(b).) The Court grants this request.

4. Probate Code Section

3604(b) Findings

Whenever a SNT is "established and continued" relating to funding from settlement proceeds, the Court must make certain findings pursuant to Probate Code section 3604(b). Based on the information presented, the Court makes the following findings:

First,

the SNT beneficiary has a disability which substantially impairs the individual's ability to provide for his own care or custody and constitutes a substantial handicap. Specifically, the beneficiary has severe disabilities including developmental and cognitive delays which impair his ability to provide for his own care and custody and constitute a substantial handicap

Second,

the SNT beneficiary is likely to have special needs that will not be met without the trust. The condition is permanent. The beneficiary receives needs-based assistance and the receipt of the settlement outright would have an impact on the beneficiary's eligibility for those benefits.

Third,

the money to be paid to the trust does not exceed the amount that appears

reasonably necessary to meet the SNT beneficiary's special needs. The beneficiary will require a third heart surgery, left ear repair/rib cartilage graft reconstruction, microtia repair/skin graft/bone anchored hearing aid implant, Artesia repair/canal plasty; percutaneous endoscopic gastronomy (PEG) tube revision/replacement, speech and language therapy, occupational therapy, and physical therapy. Through his lifetime he may require psychological counseling, specialized education, educational therapist/advocate, academic tutor/support. The amount funded into the SNT is reasonable.

5. Trustee and Bond

The proposed initial trustee is Alexandra G. Matejic (a private professional fiduciary). Bond is normally required of a trustee unless the proposed trustee is a corporate fiduciary/trust company. Because the proposed trustee is not a corporate fiduciary/trust company, bond will be required. (California Rules of Court, Rule 7.903(c)(5), Probate Code sections 2320, 15602.)

Petitioner requests a \$318,000 bond. Petitioner did not include the annual income in the litigation recovery calculation and therefore the calculation is too low.

A proper bond calculation based upon the assets to be funded into the trust, plus anticipated annual income from investments and annuity if relevant, plus an additional amount required for the costs of any recovery on the bond, is \$2,942,000. Petitioner has removed the annuity from the underlying asset base with the request that the Court make an order that the annuity may not be sold, transferred, or encumbered without further order of the Court. With the annuity excluded as an underlying asset, but included as income is generated, the bond should be \$326,000.

6. Proposed Order

The Court has reviewed the proposed order filed on August 6, 2026. While it includes all the required information, Item 3 should be corrected to mark the box 3.b.2 (as 3a would be for a statutory minor's trust and not a special needs trust) and Item

11 and Additional Order #5 should be corrected to reflect the correct bond amount (\$236,000).

Conclusion

The

Court will CONTINUE the hearing to allow for service on the three state agencies noted above; if those agencies were in fact served, Petitioner's counsel is directed to file a proof of service prior to the hearing date.